This document is part of INTECSA INDUSTRIAL procurement standard procedures, constituted by the following:

1. QUALITY PLAN, PROCUREMENT PROCEDURE

The procedures listed hereunder will be delivered according to the Contract's premises:

2. GENERAL PURCHASING CONDITIONS
3. QUALITY ASSURANCE PLAN
4. EXPORT AND TRAFFIC PROCEDURE
5. PACKING AND MARKING PROCEDURE
6. HANDLING, TRANSPORTATION AND STORAGE PROCEDURE
7. GENERAL SPECIFICATION FOR THE ENGINEERING OF SPARE PARTS
8. INSURANCE CLAIMS PROCEDURE
9. FORMATS
10. REPORTS

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1. INTRODUCTION

……. with head office is located in ……., ……. and INTECSA INDUSTRIAL, S.A. from now on INTECSA, with head office is located in Madrid, Spain, have signed a CONTRACT, which comprises the design and supply of equipment, materials and services for the construction of a …….. of ……. t. /year in …….. . on …….

2. DEFINITIONS

CLIENT	The person or entity awarding the Contract to INTECSA INDUSTRIAL
CONTRACT	The legal binding agreement between INTECSA INDUSTRIALand CLIENT.
END USER	The authorized company to operate the PLANT
ENGINEERING	Any company or technical department of INTECSA INDUSTRIAL responsible for Contract Detailing Engineering.
LICENSOR	The proprietor of the patent or know-how to be used at the PLANT.
OWNER	The final proprietor of the PLANT.
PLANT	The Production Unit and all associated facilities, including interconnections, as required in the CONTRACT.
SUPPLIES	The goods and services required for the construction of the Plant.
PURCHASE ORDER	The legal binding agreement between INTECSA INDUSTRIALand VENDOR for the provision of supplies related to the CONTRACT, issued in the name of INTECSA INDUSTRIAL's, the Client or Owner
INTECSA INDUSTRIAL	The company entitled to provide the supplies and services object of the Contract.
SITE	The area where the PLANT is to be built
VENDOR/SUPPLIER MATERIALS	The Company appointed to supply any part of the CONTRACT.
REQUISITION	The Project's document, which defines the quantities and technical characteristics of each supply.
SUB-VENDOR	The entity receiving the Vendor's order for supplying any part of the Purchase Order

3. INFORMATION TECHNOLOGY (IT) RESOURCES

Due to the continuous evolution of the IT systems used at INTECSA INDUSTRIAL, the basic IT systems listed below will be used during the Project's duration and updated according to each Contract's particularities.

- Windows 2000 and XP operative systems and the following applications included in the Office 2000 and 2003 package will be used:

  Word processor: Word
  Spreadsheet: Excel
  Presentations: Power Point
  Database: Access

Due to the high amount of information to be downloaded, a wide-band connection to Internet (ADSL for a minimum of 2Mb, be recommended 4 Mb, Cable or RDSI) is strongly recommended. The essential requisites are:

Internet Explorer 5.5 or higher

Acrobat Reader 5.0: As most of the documentation is provided in .PDF format, Acrobat Reader must be installed for proper visualization. This program can be downloaded free of charge from **www.adobe.com**.

Java software for version 1.4.2 onwards

Detailed information is available in the INTECSA INDUSTRIALbusiness center:

http://www.intecsauhde.com/bc/component/documentation

E-mail communications shall be verified to guarantee an appropriate information exchange.

4. VENDOR´S LIST

INTECSA INDUSTRIAL and CLIENT will review the Vendor's List of the CONTRACT and will jointly agree upon any modifications to be performed. INTECSA INDUSTRIAL will provide CLIENT with a short list of pre-qualified vendors that will be requested to submit offers for the different Requisitions of Material. To determine the pre-qualified vendors the following features will be taken into account:

- Technical capability
- Previous experience
- Financial position
- Manufacturing capacity
- Quality assurance procedures and organization
- List of their qualified vendors
- Post-sales services
- Possibility to provide technical assistance at Site

5. REQUISITION OF MATERIALS

The equipments' purchasing activity will begin with the receipt of the Requisition of Materials (RM), issued by the Project Engineering Department that will comprise, at least, the following documents and information:

- Item code.
- Item quantity.
- Item description.
- Details on the scope of supply.
- Data sheets.
- General technical specifications.
- Particular technical specifications.
- Documentation required from VENDOR, which will comprise, at least, the following:

  - General Index.
  - Material take off.
  - Data sheet, specifications and performance curves.
  - Drawings.
  - Quality assurance plan.
  - Installation, maintenance and operation manuals.
  - Catalogues.
  - Construction manual for pressure vessels.
  - Final fabrication dossier.

6. REQUEST FOR QUOTATION

A Request for Quotation (RQ) will be issued to a minimum of three (3), and a maximum of five (5) Vendors selected from the Vendor's List once the Requisition of Materials (RM) of the required equipment, materials and/or services is received.

In the event a minimum of three (3) technical and commercially valid quotations are not obtained, INTECSA INDUSTRIAL will take the necessary corrective actions to search for additional Vendors, or extend the bid's delivery date, avoiding any delays in the delivery of the equipment and material.

The status will be summarized in the corresponding report.

Whenever applicable, the following documents will be attached to the Request for Quotation:

- Requisition of Materials issued for inquiry.
- Commercial terms instructions.
- Certificate of compliance.
- General purchase Conditions.
- Particular purchasing conditions.
- Conditions of technical assistance at Site.
- Export and traffic procedure.
- General specifications for the engineering of spare parts.
- Packing and Marking Procedure.
- Vendor's Documents Procédure.
- Insurance Claims Procedure.
- Spare Parts Form.
- Secrecy Agreement.
- Sample for Advance Payment Bank Guarantee.
- Sample for Mechanical Bank Guarantee.
- Electronic file containing the Commercial Bid Book.

7. BID

Bids will meet the following minimum requirements:

- Compliance with the RM.
- Full acceptance of the mandatory commercial conditions.
- Exceptions list.
- Price of supplies.
- Price of technical assistance at Site.
- Price of start-up spare parts.
- Price of two-year operation spare parts.
- Payment terms.
- Delivery period.
- Sub-vendors list and manufacturing location.
- Preliminary Inspection Point Program.
- Manufacturing Schedule.
- Guarantee.
- Insurance.

VENDOR will send the required number of originals and copies of his offer to the address mentioned in the Request for Quotation.
The offer shall be constituted of the following parts:

- Technical Bid.
- Priced Economical Bid.
- Un-priced Economical Bid.
- Electronic file containing the Commercial Bid Book File duly completed.

The priced offer and electronic support will always be delivered in a sealed envelope, separately from the rest of the offer.

8. TECHNICAL BID ANALYSIS (TBA)

The Project Engineering Department will prepare the Technical Bid Analysis (TBA), for each Requisition of Material, including the reasons that justify the technical bid recommendation. This document will be the base for performing the commercial analysis of the bids.

9. COMMERCIAL BID ANALYSIS (CBA)

INTECSA INDUSTRIAL will prepare the Commercial Bid Analysis (CBA) with the technically ACCEPTABLE Vendors. A duly justified final recommendation will **also** be **included.**

10. AWARD MEETING and LAUNCHING OF ORDER

Once the Vendor is selected, and prior to the awarding of the Purchase Order, the Procurement Department will organize a meeting with the participation of the selected Vendor (the attendance of the Vendor's Technical Responsible for the negotiated purchase order is mandatory) and the Project Engineering Department with the objective of settling the following points:

- Signature of the Requisition of Materials that define the technical scope.
- Agreement on the preliminary manufacturing schedule.
- Agreement on the scope of expediting and progressive information to be given by Vendor.
- Agreement on the preliminary Inspection Points Program.
- Agreement on the procedure for the Vendor's notice of inspection.
- Agreement on sub-vendors list.
- Agreement on Monthly Progress Report.
- Agreement on the remaining commercial requirements of the Purchase Order.

The meeting will conclude signing the "Minute of final negotiation with Vendor"

This procedure will apply only to equipments and/or main material supplies.

In those cases where vendor it´s directly selected by INTECSA INDUSTRIAL´s client, such meeting will take place within following 15 days from the purchase order awarding to vendor, in such manner that points above described could be concluded.

11. PURCHASE ORDERS (PO)

INTECSA INDUSTRIAL will prepare and issue the corresponding official Purchase Order, which will include the scope of supply defined in the Material Requisition, subject to the terms and/or commercial conditions agreed upon.

The Purchase Order will include, at least, the documents listed below:

- Requisition of Materials issued for Purchasing.
- General purchasing conditions.
- Particular purchasing conditions.
- Summary sheet including unit prices, total prices and quantities.
- Spare Parts quotation form (if applicable).
- Packing and Marking procedure.
- General specification for Spare Parts.

and any other procedure required by contract.

Vendor shall be obligated to return the Purchase Order's duplicate duly signed as confirmation of acceptance.

The acceptance of the Purchase Order implies the Vendor's full responsibility in performing the engineering, procurement, sub-vendors quality control, fabrication, time schedule and final quality control in accordance with the Purchase Order requirements. Therefore, Vendor shall transmit the quality and timing requirements to its sub-vendors.

12. PURCHASE ORDER SUPPLEMENT

Any modification made to the procurement conditions will immediately be reflected in a Supplement of the Purchase Order. Particularly, modifications in price and delivery time that are attributable to third parties outside Vendor's control will be reflected in the corresponding purchase order supplement.

13. EXPEDITING

Planning, IPP and sub-vendors confirmation

Vendor shall submit the following documentation within 3 weeks after the date of the Purchase Order:

- Detailed programs for sub-orders, designs, stockpile and fabrication, to be the base of the initial purchase order planning.
- Detailed Inspection Points Program.
- Final Sub-vendors list.
- Un-priced sub-orders including technical requirements.

Desk expediting

On a monthly basis, INTECSA INDUSTRIAL will expedite all supplies based on the Vendors' current status of the following issues:

- Main sub-orders.
  List of main sub-orders.
  List of sub-orders for specific follow-up.
- Progress on following activities, %:
  - Design
  - Sub-orders
  - Stockpile.
  - Manufacturing.
- Delivery date
- Notice for inspection.
- Hydraulic test.
- Final test.
- Inspection Quality Dossier.
- Packing list delivery, weight and volume.

Direct expediting actions will be taken on sub-vendors in cases of declared critical delays of deliveries. Specific expediting reports will be issued and included in the expediting report of the main order.

14. INSPECTION ACTIVITIES AT WORKSHOP

All activities to be performed in Vendors' workshops will be grouped within the generic denomination of "inspection activities". Activities to be carried out at Vendors shops will be performed according with vendors documentation previously approved by Engineering.

INTECSA INDUSTRIAL will directly, or through approved third parties, witness or review the test required by the Inspection Plan Program (IPP). Among others, the main activities are the following:

- To ensure the compliance with EU Community Directives
- To ensure that the work is performed in compliance with engineering specifications and drawings, as well as with applicable codes and regulations, and that its quality department issues the corresponding Control and Inspection Certificates in accordance with EN-10.204-.3.1. (issue 2004)
- To review Vendor's Inspection Point Plan.
- To check that sub-orders comply with the Material Requisition's requirements.
- To witness Non Destructive Tests.
- To review Non Destructive Test reports and heat treatment records.
- To witness hydrostatic tests.
- To witness required equipment running and performance tests.
- To review Inspection Certificates, according to EN-10.204 -3.1. (issue 2004). Such certificates must be originals, being duly signed and stamped by the quality control department from vendor.
- To review material certificates for ATEX classification following 94/9/CE.
- To update the "Inspection Quality Dossier", including all necessary documents
- To check packing and marking according to procedure
- To check detailed packing list

The order will be considered as "COMPLETED", along with the last report, when all materials are ready, all certificates are available, and final drawings and manuals are delivered.

15. LEVEL OF INSPECTION

The level of inspection will be determined by the Inspection Points Program's requirements. Sub-vendors' shop inspection will have the same level of inspection as that of other similar items of the project.

16. NOTICE FOR INSPECTION

In general, the Vendor will request the visit for inspection from INTECSA INDUSTRIAL 8 days before the planned date.
Vendor will not send the notice for inspection until there is enough material stockpiled to justify the shop inspection.

- Purchase Order and sub-order numbers (if required) subject to the inspection.
- Item number.
- Expected date of inspection.
- Place of inspection.
- Vendor's references.

The Vendor will not send the inspection notice until he has a sufficient amount of material that justifies sending an inspector to his workshop.
Vendor will attach an "excel" file to his notice for inspection including the main data of the material proposed for inspection (i.e.: code, diameter, description, quantity…).
Vendor undertakes to compensate INTECSA INDUSTRIAL with the cost of the failed inspections solely attributable to the Vendor.

17. NON-CONFORMITY NOTICE

In case of technical discrepancies with the Material Requisition and received INTECSA INDUSTRIAL inspector "Non –conformity Notice" VENDOR will immediately provide a report with the following information :

- The causes of the discrepancies.
- Acceptable solutions for the inspector.
- Delivery time needed to resolve the non conformity notice

In any case, extension of the purchase order schedule must be avoided.

18. INSPECTION QUALITY DOSSIER

Vendor shall keep the relevant quality information updated to constitute the "Inspection Quality Dossier" that will include, but will not be limited to, the following information:

- Documentation of compliance with EU Community Directives
- Inspection Points Program.
- Certificates of materials.
- Test report.
- Assembly drawings.
- Packing list.
- Start-up spare parts list.
- Drawing for oversize/overweight packages.
- Handling instructions.
- Storage protective measures.
- Final Certificate of Inspection.

Vendor will furnish INTECSA INDUSTRIAL with the required copies of the Dossier.
The Inspection Quality Dossier will include the information corresponding to Vendor and his sub-vendors.

19. GENERAL INSTRUCTIONS FOR INSPECTION REPORTS

Any inspection report shall consider the following structure:

a) Reference Information

- Expediting/Inspection Report no.
- Purchase order no. / Material Requisition (MR) no.
- Description of materials.
- Main Vendor, location, contact telephone, fax and e-mail.
- Date of current report.
- Date of previous report.
- Following scheduled visit.
- Delivery date as per Order.
- Vendor's Last promise delivery date.
- Current delivery date, inspection agent's opinion.

b) Progress Status Summary

Progress of the Purchase Order will be evaluated by the percentage of advancement, 1% to 100%, for each one of the following activities:

- DESIGN: Status of engineering and issuance of drawings, data sheets and material list.
- SUB-ORDERS: Status of sub-orders issuance up to delivery date of written sub-orders to sub-vendors.
- STOCKPILE: Status of sub-orders to main Vendor up to delivery date.
- FABRICATION: Status of fabrication at Vendor's workshop.

c) Report

After the shop inspection takes place a report will be issued including the most relevant activities referred to the Inspection Points Program and, particularly, the following:

- Main events taking place after the last visit to the workshop and activities planned before the following shop inspection visit.
- Comments regarding general progress, problems foreseen either in respect to the delivery date or quality.
- Non-conformity notice status, if applicable.
- Expected delay in supply and recovery suggestions.

The report must refer to the status of the Vendor's documents listed in the Requisition of Materials and, particularly, the following:

- Load & foundation drawings.
- Overall dimension drawings.
- Piping, electrical, and instrument connections.
- Any other document included in the 'penalty for delay' clause

20. CLIENT'S INSPECTION

CLIENT has the right to participate in any inspection visit at Vendor's workshops. INTECSA INDUSTRIAL will monthly CLIENT of the scheduled visits on a monthly basis.
Client's participation will not involve modifications in the scheduled, visits or interfere with Vendor's works, except in the case of deviations from the Requisition of Materials.

21. TRAFFIC ACTIVITY

Particular project instruction will be available for packing and transportation of goods at point of destination.

As a general rule, Vendor will provide the following information:

- Packing List.
- Drawing for oversize/overweight packages.
- Handling instructions.
- Storage protective measures.
- Certificate of Origin.
- Dangerous material certificate.

Vendor must use the packing list to list in detail the delivered material.

22. VENDORS INVOICES

The Administration and Finance Department will receive the Vendors' invoices and will register the foreseen amounts and payment dates, as well subsequently distributing them to the Procurement Department (refer to IT-AF-01).

The Procurement Department will approve the invoices, verifying that:

- They correspond with that foreseen in the product order.
- There are no objections on the part of the Specialist, Inspector, or the person/s in charge of the deliveries.
- They do not incur in penalties.

Once the above information is verified, the invoices be approved and sent to Project Manager, who will proceed accordingly to the Project Managers PR-10 Procedure.

If a penalty were applicable, the indications found in the Project Managers PR-10 Procedure will be applied. If, for other reasons, the invoices are not accepted they will be returned, without approval, to the supplier with an additional note indicating the reasons for the rejection. In any event, the Department Manager, Project Manager and the Administration and Finance Department will be informed of the rejection.

MINUTE OF FINAL NEGOTIATION WITH VENDOR

Material Requisition (RM) nº: .....

RM description:.....

Vendor.....

attendants			
Client	INTECSA Engineering	INTECSA Procurement	Vendor

SCOPE OF FINAL NEGOTIATION			
SUBJECT	**Agreement**		**Notes**
	YES	**NO**	
1. MR signature, engineering and vendor documentation			
2. preliminary manufacturing schedule			
3. expediting and progressive Vendor's information			
4. preliminary IPP			
5. Vendor's inspection instruction			
6. Vendor's notice of inspection			
7. Sub-vendors list.			
8. Monthly Progress Report			
9. P.Order commercial conditions			

Attendants signature		**Date:**	
Client	INTECSA engineering	INTECSA Procurement	Vendor